

For marketing, if a company does not spend immediately, the sales might still not get affected immediately. Same for R&D; not spending here will not affect sales today, it will affect the quality of products in the future. Therefore, long-term value-building activities must not be slowed down, especially in difficult years.



We will look for trends for all items across other years, which we can check in common-size income statement. We see that clearing, forwarding, and octroi have remained at about 4-5% of sales. We are looking for items where the numbers have changed significantly.

Next is advertising and publicity. Here too, the numbers have remained fairly constant at 3% across most years. In FY 2020, it was close to 4% and came down to 2% of the sales (approx. 35-40%) in the next year. This was majorly due to COVID-19. FY 2022 will need special attention to see if it bounces back up. There's not a lot to read about contract labour.

So, we can see that not much is changing for most operating expenses here other than marketing expenses. Whenever we see large changes, we need to understand the same.

Other operating expenses:						
Clearing, forwarding and octroi duty	4%	4%	4%	4%	4%	5%
Advertisement and Publicity	3%	3%	3%	3%	4%	2%
Contract labour	0%	0%	1%	1%	1%	1%
Other operating expenses:	10%	11%	10%	10%	10%	9%
Total operating expense	75%	74%	78%	83%	81%	80%
EBIT	19%	19%	20%	17%	19%	20%